

REVENUE MEMORANDUM RULING NO. 2-2002 issued on June 26, 2002 provides the guidelines in determining the substituted basis of property transferred and shares received, pursuant to a tax-free exchange of property for shares of stock under Section 40(C)(5) of the National Internal Revenue Code of 1997.

The Ruling shall apply solely and exclusively to, and may be relied upon only in situations in which facts are substantially similar to the facts specified in the Ruling.

With respect to the determination of the substituted basis of the shares received by the Transferor, the basis of the stock or securities received by the transferor upon the exchange specified in the exception mentioned shall be the same as the basis of the property, stock or securities exchanged, decreased by the: (1) money received and (2) the fair market value of the other property received, and increased by (a) the amount treated as dividend of the shareholder and (b) the amount of any gain that was recognized on the exchange. Provided, that, the property received as “boot” shall have as basis its fair market value; provided, further, that if as part of the consideration to the transferor, the transferee of property assumes a liability of the transferor or acquires from the latter property subject to liability, such assumption or acquisition shall be treated as money received by the transferor on the exchange. In case the transferor receives several kinds of stock or securities, the Commissioner is authorized to allocate the basis among the several classes of stocks or securities.

With respect to the determination of the substituted basis of the property transferred by the Transferor to the Transferee, the basis of the property transferred in the hands of the transferee shall be the same as it would be in the hands of the transferor increased by the amount of the gain recognized to the transferor on the transfer.

In the case where only one property is transferred, the substituted basis of the shares received by the Transferor is equal to the adjusted basis of the said property at the time of the transfer. To determine the substituted basis of each share, such aforementioned substituted basis shall be allocated pro rata among all the shares received by the Transferor in exchange for such property.

When two or more properties are transferred, the proportionate number of shares issued for each property must first be determined. In the absence of express stipulation in the deed of assignment/exchange/transfer, the proportionate number of shares deemed issued for each property shall be determined as specified in the Rulings.

If a mortgage, pledge or other encumbrance exists on one of the properties transferred, the amount of such mortgage, pledge or other encumbrance will not be allocated to the other properties which are not subject to said mortgage, pledge or other encumbrance. However, where two or more properties are mortgaged to secure a single loan or liability, and the Transferee assumes such liability, the amount of such liabilities shall be allocated among the properties transferred in determining the substituted basis of each such properties.

In case the Transferee assumes a liability or liabilities which does or do not constitute a mortgage, pledge or other encumbrance on any specific property, the amount of such liabilities shall be allocated among the properties transferred in determining the substituted basis of each such properties.